

## 2.5 External influences

| Subject content                      | What students need to learn:                                                                                                                                                                                                                                                                                                                                                       |
|--------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 2.5.1<br>Economic influences         | a) The effect on businesses of changes in: <ul style="list-style-type: none"><li>o inflation (the rate of inflation, the Consumer Prices Index)</li><li>o exchange rates (appreciation, depreciation)</li><li>o interest rates</li><li>o taxation and government spending</li><li>o the business cycle</li></ul> b) The effect of economic uncertainty on the business environment |
| 2.5.2<br>Legislation                 | a) The effects on businesses of: <ul style="list-style-type: none"><li>o consumer protection</li><li>o employee protection</li><li>o environmental protection</li><li>o competition policy</li><li>o health and safety</li></ul>                                                                                                                                                   |
| 2.5.3<br>The competitive environment | a) Competition and market size                                                                                                                                                                                                                                                                                                                                                     |